25SMCV06788 25SMCV06788

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TENTATIVE RULING

August 4, 2026

25SMCV06788 (Zeltzer v. American Honda Finance Corporation)

RELEVANT BACKGROUND

On December 30, 2025, plaintiff Aimee Zeltzer (Plaintiff) filed her complaint against American Honda Finance Corporation (Defendant) and Does 1-25. Plaintiff alleges five causes of action: conversion; breach of contract; negligence; unfair business practices; and declaratory and injunctive relief.

In 2013, Plaintiff purchased a 2013 Honda Civic, VIN 19XFB2F86DE235190 (Vehicle), and her purchase was financed by Defendant. (Compl., pg. 2.) Plaintiff contends that she paid off the subject auto loan on May 23, 2022, and that this payoff should have extinguished any lien or security interest of Defendant in the Vehicle. (Id.) On or about June 8, 2022, an employee or a representative of a Honda dealership in Van Nuys, California contacted Plaintiff about a possible “trade-in” deal, and when Plaintiff declined the offer of “trade-in” or “exchange,” Defendant’s representative refused to provide the certificate of title to the Vehicle. (Id., pg. 3.) Plaintiff alleges that Defendant continues to refuse to release the title more than three years after the payoff. (Id.)

INSTANT MOTION

On February 24, 2026, Defendant filed the instant demurrer to the first, third, and fifth causes of action. Plaintiff filed an opposition, and Defendant filed a reply.

MEET AND CONFER

The Court finds that Defendant has satisfied the meet and confer requirement. (Yoo Decl., Ex. 1.)

DISCUSSION

The statute of limitations for conversion is three years from the date the cause of action accrues. (Code of Civ. Proc., § 338, subd. (c)(1).) The statute of limitations for negligence is two years. (Id., § 335.1.)

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) "It is not necessary that there be a manual taking of the property; it is only necessary to show an assumption of control or ownership over the property, or that the alleged converter has applied the property to [their] own use." (Oakdale Village Group v. Fong (1996) 43 Cal.App.4th 539, 544.)

In order to state a claim for negligence, a plaintiff must allege the elements of (1) "the existence of a legal duty of care," (2) "breach of that duty," and (3) "proximate cause resulting in an injury." (McIntyre v. Colonies-Pacific, LLC (2014) 228 Cal.App.4th 664, 671.)

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

Here, Defendant argues that the first and third causes of action for conversion and negligence are time-barred because Plaintiff filed her complaint on December 30, 2025, but alleges that the auto loan was paid off on or about May 23, 2022, and that Defendant refused to provide the certificate of title as to the Vehicle on June 8, 2022.

Defendant further contends that, even applying the discovery rule to trigger the statute of limitations for negligence, Plaintiff knew as of June 2022 that AHFC refused to provide the certificate of title in connection with the Vehicle, citing the Complaint at pp. 2-3 and Nguyen v. W. Digital Corp., (2014) 229 Cal. App. 4th 1522, 1538.

Further, Defendant argues that Plaintiff cannot state a claim for negligence against Defendant, because Defendant owed no duty of care to Plaintiff, citing Nymark v. Heart Fed. Sav. & Loan Ass'n (1991) 231 Cal.App.3d 1089, 1096 ["[A]s a general rule, a financial institution owes no duty of care to a borrower when the institution's involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money."] and Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102–103 [in general, parties to a contractual relationship cannot bring a tort claim unless a legal duty independent of the contract has been violated].

Lastly, with respect to the fifth cause of action, Defendant argues that, setting aside whether Plaintiff has properly pled a cause of action for declaratory relief, Plaintiff cannot state a claim for declaratory and injunctive relief, because "injunctive relief" is a remedy and not a claim, citing Ivanoff v. Bank of Am., N.A., (2017) 9 Cal. App. 5th 719, 734 and Allen v. City of Sacramento, (2015) 234 Cal. App. 4th 41, 65, as modified on denial of reh'g (Mar. 6, 2015) (injunctive relief is a remedy, not a cause of action).

In opposition, Plaintiff argues that this action arises from Defendant's continuing failure to release Plaintiff's vehicle title following payoff of Plaintiff's vehicle loan, despite Plaintiff's repeated efforts to obtain title and despite Defendant's failure to disclose, bill, communicate, or explain any alleged outstanding balance. Plaintiff also argues that the discovery rule and equitable estoppel and tolling apply. Plaintiff's opposition and declaration includes additional facts not alleged in the Complaint. (See Opp. at pp. 1-3; Zelter Decl.)

With respect to the issue of duty, Plaintiff argues that Defendant's argument oversimplifies Plaintiff's allegations and ignores authority recognizing that lender or servicer conduct exceeding the conventional role of lending money may create actionable duties, citing Jolley, 213 Cal.App.4th 872.

For the fifth cause of action, Plaintiff states that, while Plaintiff does seek injunctive relief, Plaintiff also properly seeks declaratory relief pursuant to Code of Civil Procedure section 1060.

Lastly, Plaintiff contends that discovery supports overruling the demurrer because Plaintiff has propounded discovery directed at Defendant's alleged attorney's fees, internal accounting practices, payoff calculations, notice procedures, title withholding policies, dealership communications, transfer records, and communications concerning the alleged outstanding balance.

As Defendant points out in reply, Plaintiff's opposition and declaration include additional facts not alleged in the Complaint. (See Opp. at pp. 1-3; Zelter Decl.) Given this, the Court agrees with Defendant that the demurrer should be sustained. The Court finds, however, that leave to amend is appropriate because these new facts show that it is reasonably possible that the defects can be cured by amendment. Plaintiff asserts that she will be able allege additional facts directed at Defendant's alleged attorney's fees, internal accounting practices, payoff calculations, notice procedures, title withholding policies, dealership communications, transfer records, and communications concerning the alleged outstanding balance. These facts, if properly plead, could potentially support Plaintiff's argument regarding the continuing-violation doctrine, the delayed-discovery rule, or equitable tolling. Additionally, it is not clear from the face of the Complaint that Defendant did not owe Plaintiff a duty.

Lastly, with respect to the fifth cause of action, the Court finds that, while the Complaint does not sufficiently allege an actual ongoing controversy, it is not clear from the face of the Complaint that Plaintiff cannot amend to cure the defects. In opposition and in the declaration, Plaintiff describes an ongoing controversy whether Defendant properly assessed attorney’s fees, whether a balance was disclosed, and whether Defendant complied with its post payoff obligations. Given this, the Court finds that leave to amend is appropriate with respect to this cause of action as well. It is not clear from the face of the Complaint that the fifth cause of action is duplicative as Defendant contends.

Accordingly, the demurrer to the first, third, and fifth causes of action is SUSTAINED WITH LEAVE TO AMEND. Plaintiff may have thirty (30) days in which to file and serve an amended complaint.